MCKESSON CORP MCK

September 18, 2026 - 4:30pm EST
by OliviaUVA0818

			2026	2027
Price:	874.60	EPS	44.64	50.47
Shares Out. (in M):	119	P/E	19.6	17.3
Market Cap (in $M):	104,252	P/FCF	0	0
Net Debt (in $M):	4,565	EBIT	0	0
TEV (in $M):	108,817	TEV/EBIT	0	0

Description

My core thesis for McKesson:

- McKesson trades at 17x FY 2028 EPS (ending March 2028) for a business growing EPS 13% to 16% long-term.
- Increased focus on three core segments after selling the lower return European distribution business and the soon to be spun-off MedSurg segment.
- McKesson has been acquiring managed service organizations (clinical practices mainly oncology practices) where you have a recurring revenue stream that also enhances your scale in specialty pharma distribution and provides the lowest cost of care to oncology patients.
- ROTC for MCK has been in excess of 100% for the past several years and growing.
- MCK has also bought back large portions of their stock at much lower prices over the last several years and continues to do so both in the public markets and through ASRs, which, in my opinion, is a great investment at current prices.

McKesson is a healthcare distribution business who, over the last several years, has transformed their business model from a pure healthcare distribution business to one that is helping physicians treat patients more effectively and increasing access to medications patients need. Even with the stock outperformance over the last several years, McKesson is undervalued for several reasons:

1. **Increased focus:** Over the past few years, MCK has focused their business on North American pharmaceutical distribution selling their European distribution businesses and are in the process of spinning off their lower return, slower growth MedSurg distribution business.
2. **Limited competition:** MCK is one of three players in the pharmaceutical distribution market who combined account for 80% plus of pharmaceutical distribution in the US. MCK alone distributes a third of pharmaceuticals in the US.
3. McKesson, unlike in the past, can allocate large amounts of capital with high returns buying oncology and other specialty practices where they run the practice and allowing doctors to concentrate on treating their patients. These management service organizations have recurring revenue and allow MCK to run the pharmaceutical distribution creating more scale for their core business. They also continue to invest in their Prescription Technology segment to remove friction for patients to access necessary medications.
4. ***High returns on tangible capital***: in excess of 100% (NOPAT/TC) for the past several years and growing as McKesson recently sold off its lower return European distribution business.
5. ***Not a capital-intensive business***. Capex over the last 5 years has run between $500 to $750mm annually versus free cash flow of ~$3.5 to $5.5 billion.
6. The cost for a distributor to deliver and/or provide inventory or data services to the manufacturer is small versus the actual cost of the drug. They get paid a nominal fee compared to what they're delivering for an important part of the process – getting the patient their medicine at the right time and temperature.
7. Pharmaceutical and biologic manufacturers would rather deal with three main distributors rather than dealing with 1,000s of pharmacies, clinics, and hospitals.

Over the last several years, Mckesson as well as Cardinal Health and Cencora, have been buying management service organizations, which are physician practices where they provide all the necessary services for that practice except for treating the patient. These services include revenue cycle management, providing an electronic health record (EHR) to collect data on how that patient is being treated, hiring for the practice, as well as the drug distribution contract. So not only are you buying a recurring revenue stream, but you are increasing the scale of your core pharmaceutical distribution business. You are also collecting data on all of these patients you are treating on one EHR transforming McKesson from not only a scaled distribution business, but a data centric company allowing for better treatment.

Through the Prescription Technology segment, a digital network connecting pharmacies, providers, and payers, McKesson removes friction in the prior authorization process, connects patients to manufacturers patient assistance programs and co-pay savings cards, and guides patients to lower cost generic alternatives. This allows patients access to more affordable medication.

The investments that are being made into the Oncology & Multispecialty and Prescription Technology segments allow for more patients to be treated in the community oncology segment and access to more affordable medication creating greater distribution volume and more scale for MCK. These investments also allow for increased data collection and a larger number of patients to enroll in clinical trials helping its biopharma customers create necessary drugs faster. As these two segments continue to scale, you enable more patients to get on the medications they need, collect data to treat these patients more effectively, provide lower cost of care, and enable the conversion of biologics to biosimilars faster decreasing healthcare costs.

As you can see from the table below, not only do these segments help to scale the core distribution business, but The Oncology & Multispecialty and Prescription Technology Solution segments have higher margins than the core distribution business and are growing operating income faster.

Segments NEW	Mar-24 2024	Jun-24 1Q:25	Sep-24 2Q:25	Dec-24 3Q:25	4Q:25	Mar-25 2025	Jun-25 1Q:26	Sep-25 2Q:26	Dec-25 3Q:26	4Q:26	Mar-26 2026
Revenues:											
NA Pharmaceuticals	261,368	66,348	80,018	81,198	76,943	304,507	82,729	86,481	88,322	79,120	336,652
Growth (%)						***16.5%***	***24.7%***	***8.1%***	***8.8%***	***2.8%***	***10.6%***
Oncology & Multispecialty	30,490	8,781	9,157	9,493	9,431	36,862	10,658	12,044	13,010	12,711	48,423
Growth (%)						***20.9%***	***21.4%***	***31.5%***	***37.0%***	***34.8%***	***31.4%***
Prescription Technology Solutions	4,769	1,241	1,265	1,371	1,339	5,216	1,434	1,376	1,500	1,495	5,805
Growth (%)						***9.4%***	***15.6%***	***8.8%***	***9.4%***	***11.7%***	***11.0%***
Medical-Surgical Solutions	11,309	2,632	2,946	2,949	2,853	11,380	2,701	2,947	2,991	2,868	11,507
Growth (%)						***0.6%***	***2.6%***	***0.0%***	***1.4%***	***0.5%***	***2.0%***
Other	1,015	281	265	283	257	1,086	305	302	335	101	1,043
Total Revenue	**309,966**	**79,283**	**93,651**	**95,294**	**90,823**	**359,051**	**97,827**	**103,150**	**106,158**	**96,295**	**403,430**
Growth (%)						***15.8%***	***23.4%***	***10.1%***	***11.4%***	***6.0%***	***12.4%***

Operating Profit:	2024	1Q:25	2Q:25	3Q:25	4Q:25	2025	1Q:26	2Q:26	3Q:26	4Q:26	2026
NA Pharmaceuticals	2,841	684	754	822	885	3,145	749	851	872	980	3,452
As a percent of Revenues	***1.09%***	***1.03%***	***0.94%***	***1.01%***	***1.15%***	***1.03%***	***0.91%***	***0.98%***	***0.99%***	***1.24%***	***1.03%***
Growth (%)						***10.70%***					***9.76%***
Oncology & Multispecialty	808	219	232	233	252	936	287	397	366	385	1,435
As a percent of Revenues	***2.7%***	***2.5%***	***2.5%***	***2.5%***	***2.7%***	***2.5%***	***2.7%***	***3.3%***	***2.8%***	***3.0%***	***3.0%***
Growth (%)						***15.84%***					***53.31%***
Prescription Technology Solutions	837	223	218	235	285	961	269	261	277	322	1,129
As a percent of Revenues	***17.6%***	***18.0%***	***17.2%***	***17.1%***	***21.3%***	***18.4%***	***18.8%***	***19.0%***	***18.5%***	***21.5%***	***19.4%***
Growth (%)						***14.81%***					***17.48%***
Medical-Surgical Solutions	1,018	200	243	294	285	1,022	244	249	265	271	1,029
As a percent of Revenues	***9.0%***	***7.6%***	***8.2%***	***10.0%***	***10.0%***	***9.0%***	***9.0%***	***8.4%***	***8.9%***	***9.4%***	***8.9%***
Other	45	14	14	11	9	48	13	25	28	8	74
Corporate	(648)	(35)	(170)	(132)	(157)	(494)	(138)	(151)	(156)	(209)	(654)
Adjusted EBIT	**4,901**	**1,305**	**1,291**	**1,463**	**1,559**	**5,618**	**1,424**	**1,632**	**1,652**	**1,757**	**6,465**
Growth (%)	***1.6%***	***1.6%***	***1.4%***	***1.5%***	***1.7%***	***1.6%***	***1.5%***	***1.6%***	***1.6%***	***1.8%***	***1.6%***

Share Repurchases

McKesson has used cash flow after investments and tuck in acquisitions to buy back large amounts of stock. Total shares outstanding has gone from 209mm shares at the end of F2018 (March 2018) to 123mm today at valuations well below today's enterprise value.

Share Repurchases					
Date *(year end March)*	**Shares repurchased**		**Dollar Amount**		**Share Price**
2018	10.5	$	1,586	$	151.06
2019	13.5	$	1,765	$	130.72
2020	13.9	$	1,931	$	138.94
2021	4.7	$	754	$	160.33
2022	14.9	$	3,334	$	223.76
2023	10.4	$	3,657	$	351.62
2024	6.9	$	3,012	$	436.46
2025	5.8	$	3,150	$	543.05
2026	5.3	$	4,367	$	823.96

Tailwinds for the Industry

A large driver of gross profit for the distributors is when brands or biologics go off patent. Although revenues may decrease the overall gross profit dollars are higher as McKesson is able to negotiate lower prices from the generic players as there are more of them versus the brand. We have entered one of the largest cycles for brands coming off patent, which should prove to be a catalyst for gross profit dollars over the next decade.

Biosimilars have higher margins than both brands and biologics for the distributors, but are still lower than generics. This is because biosimilars are versions of a biologic and are not AB rated generics, where the generic can automatically be substituted in place of the brand. Therefore, these biosimilars are put on formularies based on decisions made by the PBM and distributors can not exclude any of

the biosimilars.

This differs from a generic where the distributor can negotiate with all of the generic players to get the best price because any of the manufactures can be used when interchanging the brand for the generic. To be honest, I have no timeline when an AB rated generic type structure will exist for biosimilars. Each state has different laws of when a biologic can be substituted and the largest PBMs are owned by the insurers. The FDA has spoken about removing certain test to prove interchangeability, however, there are interchangeable biosimilars on the market today and the PBMs are still able to choose which biosimilar they want on the formulary. At some point, I do believe the biosimilar market will resemble AB rated generics which would greatly help affordability and margins for the distributors. Although increase conversion to biosimilars are still a boost to gross profit dollars and margins, biosimilars could be much more profitable to the distributors in the out years.

McKesson's Business Segments

North American Pharmaceutical Distribution
McKesson's North American Pharmaceutical (US & Canada) business is a scaled distribution platform delivering more than one third of all prescription medicines in the United States to health systems, outpatient clinics, and retail pharmacies. They operate 27 distribution centers servicing all 50 states with a greater than 99% inventory service level. McKesson continues to invest in automation and robotics in these facilities to lower repetitive manual labor and boost order accuracy. McKesson has also doubled their cold chain storage to manage complex biologic and specialty therapeutics. MCK anticipates revenue growth of 4% to 8% and operating income growth of 5.5% to 9.5% for FY 2027. LT operating income growth targets are for 5% to 8% growth. The growth is led by specialty pharmaceuticals which are now greater than 50% of NA Pharmaceutical Distribution revenue.

Oncology & MultiSpecialty Segment
The Oncology & MultiSpecialty segment includes:

1. US Oncology Network
2. Ontada
3. a clinical trials business
4. the Sarah Canon Research Institute (JV with HCA) expanding clinical research in oncology
5. PRISM Vision (80% interest), which is a management platform for ophthalmology and retina services
6. Core Ventures (70% interest) purchased for $2.5 billion for a 70% interest integrating the Florida Cancer Specialists & Research Institute into the company's US Oncology Network

The US Oncology Network supports ~3,300 providers across more than 700 sites and is the largest network of independent community oncology providers in the country. McKesson services these practices by removing administration burdens helping to manage the complexity of the practice leaving the doctors to treat the patient. These services including hiring for the practice, pharmaceutical distribution, revenue cycle management (making sure these clinics are being reimbursed), infusion management, as well as providing one EHR (electronic health record) where all data is stored.

Ontanda is an oncology technology and insights business. This is where all the data stored on EHR software is aggregated and analyzed to generate evidence that advances medical research. Unlike other real-world data and evidence organizations who aggregate data from disparate sources, Ontada's data uses a single-source EHR leading to higher quality, more structured data. This data can help in safety assessments of approved targeted drugs, comparative effectiveness studies, the effects of social determinants of health on care and outcomes, and the creation of historical and synthetic control arms when the patient population may be too small or it is unethical to give patients a placebo.

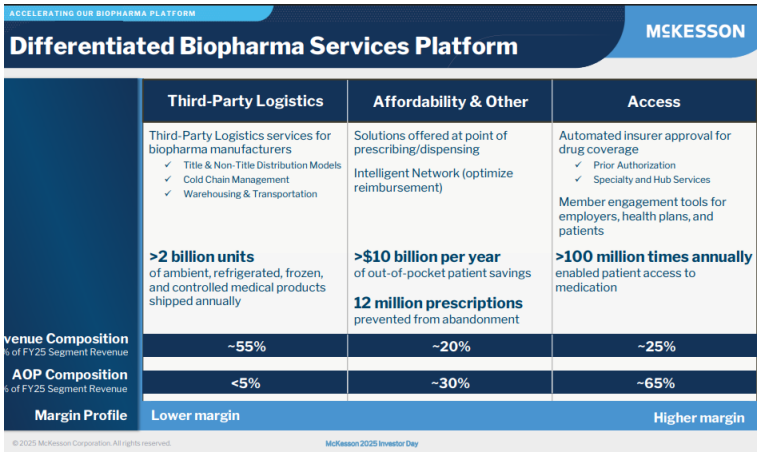
McKesson's scale in treating a larger number of patients every year through its US Oncology Network increases the amount of data on its proprietary EHR, allowing for more data insights. These insights are combined with the company research and clinicals trial businesses. For example, when a patient is treated in one of US Oncology network's practices, a molecular test can be ordered and the results can be used to find potential clinical trials for that patient. This helps the entire ecosystem. It helps the patient find treatment faster, it removes workload from the doctors as the findings for that molecular test are processed in the system automatically matching results to potential clinical trials. This also helps biopharma in finding patients for their clinical trials to develop better therapies faster.

The Oncology & Multispecialty segment is a faster growing higher margin business than MCK's core pharmaceutical distribution business. It also has a tremendous flywheel as the business continues to scale, collecting more data which is used to treat patients better and for treatments to be developed faster. The more data that is collected the more biopharma partners MCK can help to ramp their clinical trials. This segment is expected to grow revenue 14.5% to 18.5% and operating income 13.5% to 17.5% in 2027. Long-term target form operating Income growth are 13% to 16%.

Prescription Technology
The Prescription Technology Solutions segment contains a few different businesses, which in many ways work together to connect patients, pharmacies, providers, PBMs, health plans, and biopharma making medications more accessible to patients. These businesses include:

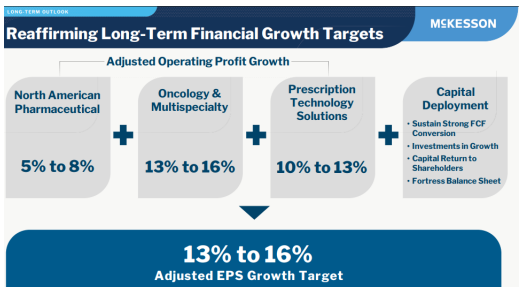
1. Relay Health – connects over 50,000 US retail pharmacies with payors to process prescription drug claims, checks patient benefits and clinical information, and applies co-pay savings cards. This digital connection allows for the transfer of patient information faster, safer, and seamless.
2. Covermymeds – removes friction in the prior authorization process by connecting pharmacies, providers, and insurance plans (PBMs), while replacing slower paper-based insurance forms with digital requests.
3. RxCrossroads - provides patient adherence support by providing reimbursement assistance, insurance verification and prior authorization management. They also have a 3PL (third party logistics) segment.
4. Rx Savings Solutions – Technology platform that is able to identify cost-effective prescription alternatives for each members specific insurance. Savings can come from using a generic instead of a brand, a different pharmacy, a different drug in the same class. Provides medication reminders to patients to help improve adherence.
5. RxLightning and FastAuth – digitizes and streamlines specialty drug enrollment, benefit verification and prior authorizations to reduce delays in getting patients medications. These businesses were incorporated under covermymeds.

McKesson breaks this segment out into three larger subsegments and provides the revenue and operating margin composition for each subsegment.



The Prescription Technology Solutions business is expected to grow revenue 2.5% to 6.5% and operating income 11% to 15% in 2027. Long-term growth rate for its operating income is expected to be 10% to 13%.

Overall, MCK's EPS over the long-term is expected to compound 13% to 16% including share repurchases.



Valuation

McKesson is not cheap on this year's multiple of earnings, free cash flow, or operating income. I would argue it is not expensive either and I am not going to compare it to the market multiple because the market multiple today is driven by a limited number of large tech stocks. That said, with MCK fiscal year end March 2027, we are almost half way through the year and with a company growing operating profit close to 10% with large barriers to entry, we should be looking forward.

MCK guided 2027 EPS to $44.20-$45.00. 2028 EPS should be around $51/share or 14% growth. At $875, MCK trades at 17x next year's earnings (FY 2028 ending March) and I would remind you that in most years free cash flow is above net income. In FY2027, that will not be the case. 2027 free cash flow guidance was for $4.5 to $4.9 billion below the $5.4 billion in FY 2026 and below net income. The reason was due to working capital timing at the end of fiscal 2026 creating free cash flow to exceed management's expectations, reversing in FY 2027. However, the CFO noted that free cash flow normally follows the growth in operating income and has been directionally higher.

Therefore, free cash flow of $5.4 billion seems a little high and $4.7 billion seems a little low for FY 2027. Earnings this year should be $5.1 billion, therefore, I believe that is a pretty good approximation of normalized free cash flow this year climbing ~10% next year (FY 2028).

Using 119mm shares and no net debt (as 5bn of cash will be created over the rest of the year) with net interest expense of $200mm, unlevered FY 2028 free cash is approximately $5.7 billion with an enterprise value of $104 billion or 17.5x unlevered free cash flow. I do not think this is a high multiple to pay for a great business growing 10% per year with large barriers to entry that are getting bigger and multiple ways to invest capital with high returns. Over the last 100 years, the SP500 has traded for ~16.5x EPS. MCK is a much better business than most companies in the SP500 due to MCK's high returns on capital, low capital intensity, and management's capital allocation history of buying back stock and tuck in M&A to enhance the company's competitive advantage.

Thinking about this another way, over the next 5 years MCK will create ~$30 billion dollars in cash, or almost 30% of their value today. MCK is a steady compounder that will be able to invest capital even in bad times to create more scale with greater competitive advantages competing in predominately a three-player market.

If you look at comps, MCK trades pretty much in line with its two biggest competitors. I looked at forward earnings so for MCK that would be FY 2028 (Ending March 2028), Cencora FY 2027 (ending September 2027) and for CAH FY 2027 (Ending June 2027). Free cash flow is for this fiscal year and as I said before, MCK's free cash flow is below adjusted net income for the year mainly due to WC timing so they are underearning on a free cash flow basis. McKesson is also using all of their cash flow ($5 billion) to repurchase shares or ~5% of their market cap vs. Cencora's $1 billion (1.5% of their MC) and CAH's $1 billion (2% of their MC).

Company	Share Price	Shares Out	Market Cap	Net Debt	Enterprise Value	FY 2027 EPS*	P/E	FCF	EV/FCF
Mckesson (March FY)	**$ 874.60**	**$ 119.2**	**$ 104,252**	**$ 4,565**	**$ 108,817**	**$ 50.47**	**17.3x**	**4,700**	**23.2x**
Cencora (Sept FY)	$ 308.78	$ 193.9	$ 59,886	$ 8,908	$ 68,794	$ 19.81	15.6x	3,000	22.9x
Cardinal Health (June FY)	$ 225.34	$ 235.0	$ 52,955	$ 4,030	$ 56,985	$ 12.57	17.9x	3,750	15.2x
Average							**16.9x**		**20.4x**

**** MCK EPS is FY 2028 ending March***

If we look two years out and do not include the Precision Medical acquisition for $2.25bn that MCK acquired on August 25th and also assume they buy back another $5bn in stock next year and $2.5bn the rest of FY 2027, you would have net debt of ~1.5bn by year end FY 2028. Let's also assume MCK acquires $7.5bn of stock at $1,000 per share or 7.5mm shares leaving them with ~110mm shares by year end FY 2028 (MCK executed an ASR in the 1Q:27 for $2.5bn which isn't fully in the 119mm shares at quarter end). FY 2029 unlevered free cash flow should be ~6.3bn. At $875/share, MCK would have a market cap of $96bn and an EV of $97.5bn and would trade at 15.5x unlevered free cash flow or a point below the avg SP500 multiple.

FY 2029 free cash flow	6,300				
Multiples	12.0x	14.0x	16.0x	18.0x	20.0x
EV	75,600	88,200	100,800	113,400	126,000
Net Debt	1,500	1,500	1,500	1,500	1,500
Market Capitilization	74,100	86,700	99,300	111,900	124,500
Shares Outstanding	110	110	110	110	110
Share Price	**$ 673.64**	**$ 788.18**	**$ 902.73**	**$ 1,017.27**	**$ 1,131.82**

At 16x or a market multiple you have slight upside looking a year out as you would be half way through FY 2028 looking at FY 2029 numbers. Overall, McKesson is a great business playing in a three-player market and is allocating capital at high returns (acquiring MSOs), while strengthening their core distribution business and adding recurring revenue. Therefore, I am not sure why MCK would trade at a market multiple.

Today, there does not seem to be considerable downside and MCK has continually allocated capital correctly and run the business to where free cash flow over time has exceeded expectations. If they continue to do this then my numbers could prove conservative and a higher multiple would be warranted on higher free cash flow. If the stock continues to trade above the avg market multiple closer to 20x 2029E EPS, the stock would trade around $1,200 per share or ~35% higher than today's price.

RISKS:

- Regulatory changes in healthcare are always occurring. Recent investor worries are around the impact of CMMI (Center for Medicare and Medicaid Innovation) demos and IRA negotiations in the Part B space and how that could affect oncology practices profit. The goal of the program is to push costs down to treat these patients. This could happen by changing the way medications are purchased (from ASP+6%) or paying fee for service. These changes would not take effect until 2028. This is a risk as this could cause profit margins for MCK's Oncology& MultiSpecialty segment to be reduced, however, the complexity could cause more independent practices to join MCK allowing for greater scale.
- GLP-1 made up 11% of RxTS revenue with higher margins than the average. This has been a growth driver for MCK in the past and GLP-1 growth could slow with the introduction of a pill. MCK has said that this is additive to growth, but it's something I watch closely.
- A third of their business comes up for renewal annually and CVS is up June 2027, which is a large piece of business at a lower margin.
- Inflation could increase delivery costs especially if fuel costs continue to increase.

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Catalyst

Continued quarterly outperformance

Continued stock repurchases

More accretive tuck-in acquisitions

Completed spin-off of the slower growth MedSurg business

Messages

No messages